Pre-entry Risk-path Matching: Full Samples

Baseline weighted PSM-DID / columns 1–4

	Fin restatement	Strict restatement	Raw restatement	Fin any failure
	(1)	(2)	(3)	(4)
Switch into Big 4	-0.100429***	-0.037703**	-0.082854**	-0.125902***
	(0.028720)	(0.016184)	(0.040917)	(0.034801)
p	0.0006	0.0207	0.0440	0.0004
Observations	1,763	1,763	1,763	1,763

Baseline weighted PSM-DID / columns 5–7

	Strict any failure	Raw any failure	Violation
	(5)	(6)	(7)
Switch into Big 4	-0.064404**	-0.108164**	-0.036137
	(0.024845)	(0.045615)	(0.022795)
p	0.0101	0.0186	0.1143
Observations	1,763	1,763	1,763

Pre-entry risk-path weighted PSM-DID / columns 1–4

	Fin restatement	Strict restatement	Raw restatement	Fin any failure
	(1)	(2)	(3)	(4)
Switch into Big 4	-0.052965*	-0.002295	-0.003633	-0.050293
	(0.027578)	(0.012626)	(0.041664)	(0.039012)
p	0.0561	0.8559	0.9306	0.1987
Observations	1,748	1,748	1,748	1,748

Pre-entry risk-path weighted PSM-DID / columns 5–7

	Strict any failure	Raw any failure	Violation
	(5)	(6)	(7)
Switch into Big 4	-0.004842	-0.004020	-0.001439
	(0.029513)	(0.047751)	(0.028272)
p	0.8698	0.9330	0.9594
Observations	1,748	1,748	1,748

Notes: SE clustered by firm. Nine audit-failure controls and mis_dummy. * $p < 0.10$, ** $p < 0.05$, *** $p < 0.01$.